

Assuming arguendo, Plaintiff met his initial burden, Brokers met their burden presenting a triable issue of material fact through Sullivan's deposition testimony.

Sullivan testified that he, as Plaintiff's real estate agent, visited the Property ten to twelve times during the transaction and described the neighborhood as quiet and free of helicopter noise, and Plaintiff never asked Sullivan to investigate helicopter traffic. (Sullivan Depo., pg. 16:17-17:5; 19:16-20; 25:18-22; 26:22-27:21.) As to the plumbing, Sullivan admitted that Sellers did not state that every plumbing component in the house was new, that the Sellers were uncertain regarding the cantina bar and upstairs plumbing, and did not represent that every pipe had been replaced or was new. (*Id.* at pg. 46:9-47:9, 47:20-24.) Sullivan testified that Plaintiff waited for clarification regarding the plumbing improvements before removing contingencies. (*Id.* at pg. 49:5-12; 51:5-52:13.)

Based on the foregoing, there are triable issues of material fact as to whether Brokers had specific knowledge about the helicopter noise and whether there was truly a representation about "new plumbing" at the Property.

6th Cause of Action – Negligence (against Brokers)

Plaintiff argues Brokers negligently published the MLS statement that the Property had "New Plumbing," which is false, misleading, and inaccurate, in violation of Civil Code section 1088, subdivision (b).

In opposition, Brokers argue Plaintiff fails to submit undisputed facts that a misrepresentation occurred.

Civil Code section 1088, subdivision (b) states, "If an agent or appraiser places a listing or other information in the multiple listing service, that agent or appraiser shall be responsible for the truth of all representations and statements made by the agent or appraiser of which that agent or appraiser had knowledge or reasonably should have had knowledge to anyone injured by their falseness or inaccuracy."

The MSA as to this cause of action fails for the same reasons set forth under the 4th cause of action: there is a triable issue of material fact as to whether misrepresentations were made by Brokers.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2508344	MERRELL VS VYLLA SOLUTIONS LLC	DEMURRER ON 2ND AMENDED COMPLAINT OF MICKALA D MERRELL BY CENTER STREET LENDING

Tentative Ruling: Sustained.

Sustained as to entire complaint. Plaintiff granted one additional opportunity for leave to file a 3rd Amended Complaint within 10 days of this order becoming final.

Moving party to provide notice pursuant to CCP 1019.5.

This is an action to set aside a foreclosure sale of a residential property. Plaintiff is a borrower of a residential mortgage loan which was secured by a deed of trust against a real property located in the City of Palm Springs, California. Plaintiff defaulted on her loan obligations, and the property was subject to a non-judicial foreclosure sale under the power-of-sale provision of the deed of trust. Plaintiff alleges that the foreclosure was unlawful because the foreclosing beneficiary purchased the property at the sale through a credit-bid rather than permitting a fair sale at a price of the property's actual worth of approximately \$1.1 million. Plaintiff also alleges that the foreclosure was wrongful because Defendant foreclosed on a debt which was grossly inflated by charging a 18% default interest and force-placed insurance premium marked up approximately 780% over the market rate. Plaintiff also alleges that the foreclosure must be set aside because the pre-foreclosure notice of default recorded on her property is void for reason it failed to properly state the amount of past due mortgage payments.

Plaintiff is self-represented. Plaintiff filed her original Complaint on November 13, 2025, and concurrently moved to enjoin the pending foreclosure sale.

On February 13, 2026, the Court denied Plaintiff's request for preliminary injunction. On May 11, 2026, Plaintiff filed her First Amended Complaint as a matter of right. (Code Civ. Proc., § 472(a).)

On July 15, 2026, Plaintiff filed her Second Amended Complaint ("SAC"), which is the operative pleading, upon a stipulation and order. Defendant CSL now demur to the SAC as to each cause of action for failing to state facts sufficient to constitute a cause of action.

On August 05, 2026, Defendant CSL filed the instant demurrer to the SAC as to every cause of action alleged by Plaintiff. CSL argues that the first cause of action for wrongful foreclosure fails for reason, by Plaintiff's own allegation, no Trustee's Deed Upon Sale has been recorded, and it is premature for Plaintiff to seek to set aside a sale which has not been completed. CSL also argues that Plaintiff fails to state a valid basis to assert that the foreclosure sale was illegal, fraudulent, and willfully oppressive because a foreclosing beneficiary's purchase of the property by credit bids are commonplace and legal. CSL also argues that there is no authority to support Plaintiff's assertion that a mere dispute as to loan charges makes a foreclosure sale invalid. CSL also argues that Plaintiff's wrongful foreclosure claim fails for reason Plaintiff fails to allege a proper tender. CSL argues that Plaintiff's second cause of action for unconscionable default interest fails for reason the SAC fails to plead any facts showing the 18% default interest rate was unreasonable at the time of contracting in May 2024. Defendant argues that Plaintiff's cause of action for accounting fails for reason she fails to demonstrate any relationship requiring an accounting, or that any money is due to her. Defendant also argues that Plaintiff's declaratory relief claim fails for lack of an underlying actual controversy regarding the legal rights of the parties to challenge the foreclosure sale as it indicates a past wrong, not an actual, present controversy.

Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., §430.10(e).) Additionally, any "objections that a complaint is ambiguous or uncertain...must be raised by special demurrer." (*Johnson v.*

Mead (1987) 191 Cal.App.3d 156, 160.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law (*Daar v. Yellow Cab Company* (1967) 67 Cal. 2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.)

Code of Civil Procedure section 430.41 requires the demurring party to meet and confer “in person or by telephone with the party who filed the pleading,” “at least five days prior to the date the responsive pleading is due....” (Code Civ. Proc., § 430.41(a)(2).) The demurring party is required to file and serve with the demurrer a declaration which may state “[t]hat the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Code Civ. Proc., § 430.41(a)(3)(B).)

Here, it is unclear whether the demurring Defendant has satisfied its meet and confer obligations under section 430.41. The declaration of Demurring Defendant’s counsel, Adam Van Korlaar, states that he met and conferred with Plaintiff regarding the demurrer on various dates (June 10, 2026, June 30 through July 6, 2026) which did not result in a resolution, but the declaration does not indicate whether the meet and confer communications were in person or by telephone. (Van Korlaar Decl., ¶ 4.)

1st Cause of Action – Wrongful Foreclosure

An action for wrongful foreclosure “is an equitable action to set aside a foreclosure sale, or an action for damages resulting from the sale, on the basis that the foreclosure was improper.” (*Sciarratta v. U.S. Bank National Association* (2016) 247 Cal.App.4th 552, 561.) “[T]he elements of an equitable cause of action to set aside a foreclosure sale are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104, citing *Bank of America etc. Assn. v. Reidy* (1940) 15 Cal.2d 243, 248; *Saterstrom v. Glick Bros. Sash, Door & Mill Co.* (1931) 118 Cal.App. 379, 383.) “A valid and viable tender of payment of the indebtedness owing is essential to an action to cancel a voidable sale under a deed of trust.” (*Karlsen v. American Sav. & Loan Ass’n* (1971) 15 Cal.App.3d 112, 117 [internal quotations omitted], quoting *Shimpones v. Stickney* (1934) 219 Cal. 637, 649.)

CSL contends, Plaintiff has not alleged facts to establish the first element of the cause of action showing that the mortgage beneficiary caused an illegal, fraudulent, or willfully oppressive sale. Here, Plaintiff’s claim that the sale was wrongful is based on two assertions: (1) that CSL, which is the foreclosing beneficiary, purchased the Subject Property for itself through a credit bid rather than permitting a fair sale which might have realized substantial equity by allowing the property to be sold for what it was actually worth for approximately \$1.1 million; and that (2) CSL foreclosed on an artificially inflated

debt which included the unconscionable 18% default interest and force-placed insurance marked up over approximately 780% over market price. Neither of these assertions serves as basis to satisfy the first element as neither indicates an irregularity of the foreclosure sale process.

“Justifications for setting aside a trustee’s sale from the reported cases, which satisfy the first element [i.e., an illegal, fraudulent, or willfully oppressive sale], include the trustee’s or the beneficiary’s failure to comply with the statutory procedural requirements for the notice or conduct of the sale.” (*Lona v. Citibank, N.A.*, *Supra*, 202 Cal.App.4th at 104, italics added; *Knapp v. Doherty*, *supra*, 123 Cal.App.4th 76, 96-99 [alleged irregularity in default notice and sale notice]; *Bank of America v. La Jolla Group II* (2005) 129 Cal.App.4th 706 [trustee’s sale invalid because borrower and lender had entered into agreement to cure default; loan was therefore current and lender did not have right to foreclose].) The nonjudicial foreclosures in California are strictly controlled by statute. “The statutory provisions regulating the nonjudicial foreclosure of deeds of trust are contained in sections 2924-2924i. The provisions cover every aspect of exercise of the power of sale contained in a deed of trust.” (*I.E. Associates v. Safeco Title Insurance Company* (1985) 39 Cal.3d 281, 285.) As a general rule, there is a common law rebuttable presumption that a foreclosure sale has been conducted regularly and fairly. (Civ. Code, §2924-2924k; *Royal Thrift and Loan Co. v. County Escrow, Inc.* (2004) 123 Cal.App.4th 24, 32.)

Here, CSL’s purchase of the property through a credit bid does not constitute an irregularity because a lender may credit bid at its own foreclosure sale. The foreclosing lender can choose to bid at a nonjudicial foreclosure in the capacity of a purchaser through what is known as a credit bid, which is “an amount equal to the unpaid principal and interest of the mortgage debt, together with the costs, fees and other expenses of the foreclosure.” (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1238; Civ. Code, § 2924h(b)(2) [“Any bid that is not cash” as set forth in the notice of sale].) A loan beneficiary as the successful bidder under its credit bid acquires the property by paying the full outstanding balance of the indebtedness and the cost of foreclosure to itself, and as a result, releases the borrower from further obligations under the defaulted note. (*Id.* 1238.)

Furthermore, the allegation that CSL’s foreclosed through a credit bid at an artificially inflated debt amount, alone, does not establish that the sale was wrongful. Even if the amount Defendant bid for the property included the alleged unconscionable interest rate and improper forced-placed insurance premium, a lender “is not required to open the bidding with a full credit bid, but may bid whatever amount [it] thinks the property [is] worth. [Citation.]” (*Commonwealth Mortgage Assurance Co. v. Superior Court* (1089) 211 Cal.App.3d 508, 520.) Even assuming the lender’s bid at an inflated figure constituted an irregularity in the foreclosure, the SAC does not satisfy the second element that the purported irregularity harmed Plaintiff as no facts are alleged in support of any prejudice or harm suffered by Plaintiff as a result of the inflated bid. Plaintiff does not allege the balance of the inflated outstanding indebtedness precluded her from attempting to redeem her property by paying off the debt.

In opposition, Plaintiff asserts that Defendant did not conduct the sale in accordance with the foreclosure statute because Defendant failed to properly provide Plaintiff with notice

of default and notice of trustee's sale. However, such assertions are not alleged in the pleading and cannot be considered in determining whether the SAC sufficiently alleges a foreclosure irregularity.

Defendant also correctly contends in its demurrer that Plaintiff's causes of action for wrongful foreclosure fails for reason no valid tender is alleged in the SAC. In opposition, Plaintiff contends that tender was not required where (1) the sale is void, (2) the amount demanded itself is in dispute and cannot be ascertained without an accounting, and (3) the foreclosure violated the statutory notice requirements. However, none of these reasons falls within any of the recognized exceptions to the tender requirement. Courts have held that no tender is required where (1) "the borrower's action attacks the validity of the underlying debt"; (2) "when the person who seeks to set aside the trustee's sale has a counterclaim or setoff against the beneficiary"; (3) "where it would be inequitable to impose such a condition on the party challenging the sale"; (4) "when the trustor is not required to rely on equity to attack the deed because the trustee's deed is void on its face." (*Lona v. Citibank, N.A.*, *supra*, 202 Cal.App.4th at 112-113.) Although it may be argued that Plaintiff may be seeking a setoff against CSL for the excessive default interest and forced-placed insurance cost charged on the loan, Plaintiff does not allege that she paid any amount of the over-charged loan.

It is true that the tender requirement has been excused as inequitable where the lender has failed to comply with pre-foreclosure statutory requirements or for irregularities in the foreclosure sale. (*See Majd v. Bank of America, N.A.* (2015) 243 Cal.App.4th 1293, 1305-1306 [inequitable to require tender where the lender foreclosed while loan modification review was pending, which would have provided an alternative to foreclosure]; *Fonteno v. Wells Fargo Bank, N.A.* (2014) 228 Cal.App.4th 1358, 1374 [no tender was required for bringing an action for cancellation of the trustee's deed for lender's failure to comply with pre-foreclosure HUD requirement for face-to-face meeting].) Here, however, as set forth above, Plaintiff has not satisfied this exception to the tender requirement as she alleges no facts to establish any irregularities in the sale. SUSTAINED WITH LEAVE TO AMEND

2ND Cause of Action – Unconscionable Default Interest

Here, Plaintiff's second cause of action for unconscionable default interest fails. Plaintiff asserts that the default interest at the rate of 18% is unconscionable and therefore constitutes an unenforceable liquidated damages under Civil Code section 1671. Except in the case of consumer contracts and residential leases, "a provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made." (Civ. Code, § 1671(b).) "An amount disproportionate to the anticipated damages is termed a 'penalty'" (*Perdue v. Crocker National Bank* (1985) 38 Cal.3d 913, 931.) A liquidated damages clause becomes unenforceable penalty only "if it bears no reasonable relationship to the range of actual damages that the parties could have anticipated would flow from a breach." (*Ridgley v. Topa Thrift & Loan Ass'n* (1998) 17 Cal.4th 970, 977.) A late payment charge, including default interest rates which is charged in respect of a borrower's default, is considered a form of liquidated damages and its validity is subject to section 1671's restriction on liquidated damages. (*Id.* at 978.)

“Whether an amount to be paid upon breach of contract is to be treated as an enforceable liquidated damages provision or as an unenforceable penalty is a question of law” to be determined by the court. (*Harbor Island Holdings v. Kim* (2003) 107 Cal.App.4th 790, 795.) However, here, Plaintiff’s mere assertion that a default interest of 18% was charged to the loan does not, without more, show that it bore no relation to the lender’s damages for Plaintiff’s default on the loan and constituted a penalty. Plaintiff provides no details of the contractual language in the promissory note or any facts supporting the manner in which the default interest was charged to the loan for the Court to determine its punitive character. Furthermore, it is unclear whether this cause of action is an independent claim for which Plaintiff is seeking a relief other than to set aside the allegedly void foreclosure sale. Even if the Court were to find that the 18% interest charge was excessive, and therefore unenforceable, Plaintiff has not alleged that she paid these excessive interest charges and that she is seeking to recover the same from Defendants. SUSTAINED WITH LEAVE TO AMEND

3Rd and 4th Causes of Action – Accounting and Declaratory Relief

The 3rd and 4th causes of action also fail as they are wholly derivative of the first two causes of action. SUSTAINED WITH LEAVE TO AMEND